

An Act

ENROLLED SENATE
BILL NO. 1670

By: Reinhardt of the Senate

and

Moore, Archer, Blancett,
and Deck of the House

An Act relating to higher education; amending 70 O.S. 2021, Section 3206.3, which relates to research and development at institutions of higher education; directing certain policy established by the Oklahoma State Regents for Higher Education to include certain tiered system of ownership and require certain compensation; adding area of encouragement for certain development; requiring certain policies to be reviewed with certain frequency; updating statutory language; providing an effective date; and declaring an emergency.

SUBJECT: Higher education

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 70 O.S. 2021, Section 3206.3, is amended to read as follows:

Section 3206.3. A. The Oklahoma State Regents for Higher Education shall:

1. Establish, pursuant to the requirements of this paragraph, a model policy, which to the extent not inconsistent with this section may be adapted by the governing board of regents for each institution within The Oklahoma State System of Higher Education, regarding:

- a. the use of facilities, whether consisting of real property, personal property, intangible personal property, or any combination of such properties, within The Oklahoma State System of Higher Education, for the purpose of conducting research, the principal purpose of which is to develop or refine a product, process, or idea in cooperation with a private business entity in order to market the product, process, or idea for profit,
- b. the investment of value available to institutions within The Oklahoma State System of Higher Education, in private business entities or the receipt of royalty income from a private business entity, or both, in conjunction with research and development conducted on the premises of or with the assistance of institutions within The Oklahoma State System of Higher Education, its faculty, staff, or students,
- c. a method to inform the faculty, staff, students, and third parties conducting research on the premises of or with the assistance of the faculty, staff, or students of an institution within The Oklahoma State System of Higher Education of the policies developed pursuant to this paragraph, and
- d. the extent to which professors and other faculty and students at institutions within The Oklahoma State System of Higher Education may acquire property interests in technology developed on the premises of or with the assistance of an institution within The Oklahoma State System of Higher Education or a property interest in the revenues derived by the sale, marketing, licensing, or other disposition of technology by an institution within The Oklahoma State System of Higher Education or by a private business entity conducting research or engaged in the development of technology on the premises of or with the assistance of an institution within The Oklahoma State System of Higher Education. The policy shall include a tiered system of ownership based on the amount of revenue generated from the new technology.

The policy shall also ensure that the inventor or discoverer is compensated competitively to similarly situated institutions; and

2. Establish policies for institutions within The Oklahoma State System of Higher Education to:

- a. encourage development of a product, process, or idea, regardless of whether or not the product, process, or idea is protectable under the intellectual property laws of the United States or of this state, and to encourage the institutions to take such actions as may be appropriate in order to promote the development of products, processes, or ideas having a potential for the improvement or advancement of:
 - (1) medical technology,
 - (2) biotechnology,
 - (3) energy technology,
 - (4) telecommunications technology,
 - (5) chemical technology,
 - (6) industrial technology, ~~and~~
 - (7) aerospace and defense, and
 - (8) such other technologies as are deserving of the resources and assistance available through institutions and the faculty and students of institutions within The Oklahoma State System of Higher Education,
- b. develop appropriate methods to maintain a system for recording the nature of research being conducted at institutions within The Oklahoma State System of Higher Education and the results of research having potential for protection pursuant to the intellectual

property laws of the United States or of this state,
and

c. develop a system to account for:

- (1) expenses associated with research and development conducted on the premises of or with the assistance of an institution within The Oklahoma State System of Higher Education,
- (2) the financial relationships, if any, established between those institutions and private business entities,
- (3) the acquisition of equity interests in private business entities,
- (4) the receipt of royalty income or other income related to the sale or other disposition of products, processes, or ideas by institutions or private business entities with which the institution has established a financial arrangement,
- (5) the gains or losses upon the sale or other disposition of equity interests in private business entities, and
- (6) such other matters relating to the income and expenses associated with the research, development, intellectual property protection, marketing, distribution, or other matters as the State Regents determine to be appropriate.

B. Any policy created by the State Regents or institutions within The Oklahoma State System of Higher Education pursuant to this section shall be reviewed every seven (7) years to ensure that the policy is still competitive among comparable institutions of higher education.

SECTION 2. This act shall become effective July 1, 2026.

SECTION 3. It being immediately necessary for the preservation of the public peace, health, or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the Senate the 12th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____